UKRAINE

Table 1	**2020**
Population, million	44.0
GDP, current US$ billion	140.9
GDP per capita, current US$	3202.3
International poverty rate ($1.9)[a]	0.0
Lower middle-income poverty rate ($3.2)[a]	0.2
Upper middle-income poverty rate ($5.5)[a]	2.5
Gini index[a]	26.6
School enrollment, primary (% gross)[b]	99.0
Life expectancy at birth, years[b]	71.8
Total GHG Emissions (mtCO2e)	232.0

Source: WDI, Macro Poverty Outlook, and official data.
(a) Most recent value (2019), 2011 PPPs.
(b) WDI for School enrollment (2014); Life expectancy (2019).

A slow recovery from the COVID-19 shock is underway, supported by high commodity prices and rising government spending. Above-target inflation and rising fiscal spending pressures require continued prudent monetary and fiscal policy. The outlook hinges upon global economic and financing conditions, and implementation of critical reforms to reduce the state's economic footprint and ease investment bottlenecks. COVID-related poverty impacts were relatively muted thanks to pensions and wage growth; the poverty rate is expected to decrease to 1.6 percent in 2023.

Key conditions and challenges

Benefiting from reforms implemented following the 2014-16 crisis, Ukraine's economy has shown greater resilience to the COVID-19 outbreak than initially anticipated. COVID-response measures adopted by the Government have also been somewhat effective in cushioning the poor from the shock, while Ukraine's financial sector has entered the COVID-19 crisis stronger and more resilient than any previous crisis.

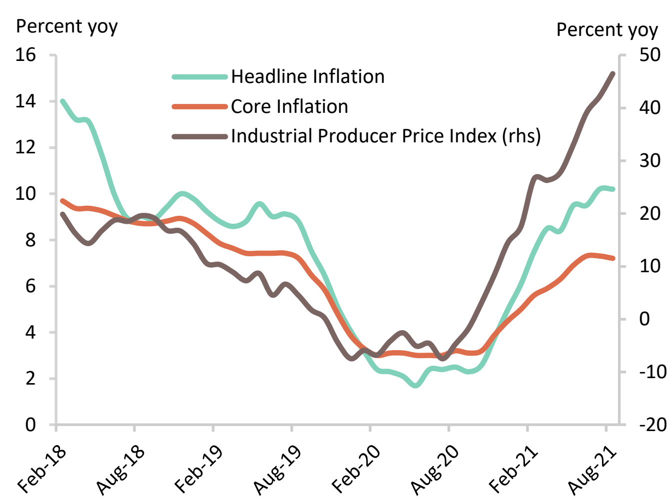
However, COVID-19 has exacerbated existing socio-economic challenges and partially set back some gains made since 2014/15. The growth recovery also remains weak, underpinned by low investment-to-GDP ratios, an export structure heavily dependent on commodities and significant institutional challenges that have dragged on economy-wide productivity and investment. The poverty rate, based on the national poverty line, marginally increased in 2020 following four years of steady decline. The labor market recovery that started in 2017 was upended, with employment declining by over 660,000 in 2020 and the unemployment rate hitting 9.9 percent – higher than during the 2014/15 crisis.

A broad-based recovery requires completing key reforms to stimulate private sector-led growth and inclusive job creation, by addressing structural bottlenecks to investment while safeguarding macroeconomic sustainability. The implementation of reforms in land markets, banking, demonopolization and concession projects should improve the environment for private investment, but major challenges remain with respect to weak rule of law and institutions. The direct participation of the state in the economy (via some 3,500 SOEs many of which are poorly managed) is excessive and restricts the role of market forces, and SOE reforms need to be accelerated. Judicial reform is in the early stages and timely implementation of recent laws adopted will be critical. Finally, rebalancing fiscal spending towards investment, and tax reforms to ease competition distortions that undermine investment, can also support capital deepening and accelerate growth.

Recent developments

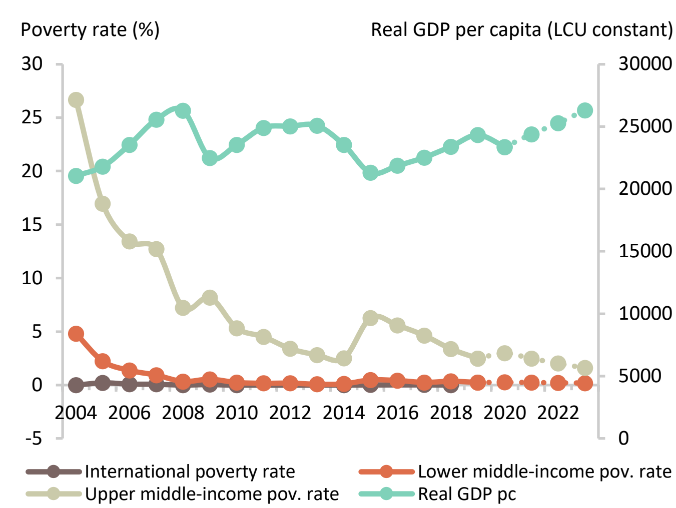
Following a 4 percent contraction in 2020, the recovery during the first half of 2021 has been hampered by supply-side constraints and a second wave of infections. Base effects and a partial recovery in the industrial and services sector lifted GDP growth to 5.4 percent y/y in Q2 2021 (vs -2.2 percent in Q1); however, on a sequential basis, the economy contracted by 0.8 percent (sa qoq) in Q2. The labor market also deteriorated in Q1, with unemployment rising to 10.9 percent. High frequency retail and industrial production indicators, however, point to strengthening domestic demand; a record harvest is also anticipated in the H2 2021.

FIGURE 1 Ukraine / Consumer and producer price indices



Source: State Statistics Service of Ukraine.

FIGURE 2 Ukraine / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

After steadily accelerating over the past year, headline inflation remained flat at 10.2 percent y/y in August, double the inflation target of 5 percent. Base effects, food inflation, and gas price adjustments have been major drivers while expansionary wage policies, notably a 27 percent increase in minimum wages, have also played a role. However, inflation momentum has begun to ease owing to weakening base effects, a strengthening currency and a proactive tightening of policy rates (by 250bp since April to 8.5 percent) by the central bank which also terminated anti-crisis monetary tools in September.

Helped by strong external demand, favorable terms of trade and rising wages, fiscal revenues have performed better than anticipated, with consolidated revenues in H12021 rising by almost 16 percent y/y. However, expenditures grew faster, by 17.4 percent y/y, driven by rising goods and services and public wage expenditures, while capital expenditures fell 8.2 percent. On a general government basis, the deficit was twice (1.4 percent of GDP) the size of the consolidated deficit (0.6 percent) in Q1 and has been financed by costly short-term domestic and Eurobond issuances.

The current account surplus reached a record $5.2bn in 2020 and has since remained positive (although narrowing) due to strong services net exports and higher global commodity prices. Already ample at nearly $29 bn (4 months of imports), reserves have been further supplemented by the $2.7bn IMF SDR allocation in August. Ukraine has successfully retained access to market financing despite volatility in global markets.

Outlook

Activity should continue recovering in H2 2021, helped by better harvests, strengthening consumer demand, and a supportive external environment. Growth is projected at 3.8 percent in 2021 underpinned by positive base effects in agriculture, and relative to last year's economic contraction. The forecast takes into account the possibility of further temporary lockdowns and additional tightening by the central bank to anchor inflation expectations.

Inflation is expected to moderate to the target rate in H2 2022 supported by monetary tightening and as base effects and supply shocks fade. The 2021 budget deficit (including arrears to the private sector and recapitalization requirements) is estimated at 5 percent of GDP. Together with 9.1 percent of GDP debt amortization this will increase total fiscal financing needs to 14.1 percent of GDP (vs 15.2 percent of GDP in 2020) that are expected to be met through domestic and international borrowing. Coupled with rising public wage expenditures (expected to reach over 11 percent of GDP in 2021), medium term spending pressures are increasing and continued prudent fiscal policy is needed to safeguard fiscal sustainability. Downside risks stem from an uncertain global economic and financing environment amidst an ongoing pandemic and flagging of domestic reform efforts.

The poverty rate based on the US$5.5 a day threshold is expected to decrease to 2 percent in 2022 and 1.6 percent by 2023, though the outlook is uncertain given rising COVID-19 cases both domestic and abroad and the slow vaccination pace. Accelerating critical reforms will be key to support the recovery and create more and better jobs.

TABLE 2 Ukraine / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2018	2019	2020	2021 e	2022 f	2023 f
Real GDP growth, at constant market prices	3.3	3.2	-4.0	3.8	3.5	3.7
Private Consumption	8.9	11.9	1.6	4.6	4.5	3.5
Government Consumption	0.1	-5.0	-3.0	1.5	0.0	0.0
Gross Fixed Capital Investment	14.3	15.0	-24.4	10.4	8.4	7.5
Exports, Goods and Services	-1.6	6.7	-5.6	3.4	2.0	4.4
Imports, Goods and Services	3.2	6.3	-9.6	7.5	5.7	4.8
Real GDP growth, at constant factor prices	3.3	3.4	-4.0	3.9	3.4	3.7
Agriculture	7.8	1.3	-11.5	5.0	4.5	5.0
Industry	2.0	-2.0	-4.0	2.0	3.0	4.5
Services	3.0	5.7	-2.7	4.3	3.4	3.2
Inflation (Consumer Price Index)	9.8	4.1	4.8	9.5	6.0	5.0
Current Account Balance (% of GDP)	-3.2	-0.9	4.1	1.5	-0.2	-0.7
Net Foreign Direct Investment (% of GDP)	1.9	2.1	2.1	2.2	2.2	4.9
Fiscal Balance (% of GDP)	-2.0	-2.0	-6.0	-5.0	-3.5	-2.5
Debt (% of GDP)	60.6	50.4	60.6	59.3	58.1	56.8
Primary Balance (% of GDP)	1.4	1.1	-2.4	-0.9	0.2	1.4
Lower middle-income poverty rate ($3.2 in 2011 PPP)[a,b]	0.4	0.2	0.3	0.2	0.2	0.2
Upper middle-income poverty rate ($5.5 in 2011 PPP)[a,b]	3.4	2.5	3.0	2.5	2.0	1.6
GHG emissions growth (mtCO2e)	4.2	-2.8	-9.0	2.9	2.7	3.1
Energy related GHG emissions (% of total)	69.9	70.0	69.5	70.1	70.7	71.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate. f = forecast.

(a) Calculations based on ECAPOV harmonization, using 2019-HLCS.Actual data: 2019. Nowcast: 2020. Forecast are from 2021to 2023.

(b) Projection using neutral distribution (2019) with pass-through = 0.87 based on GDP per capita in constant LCU.